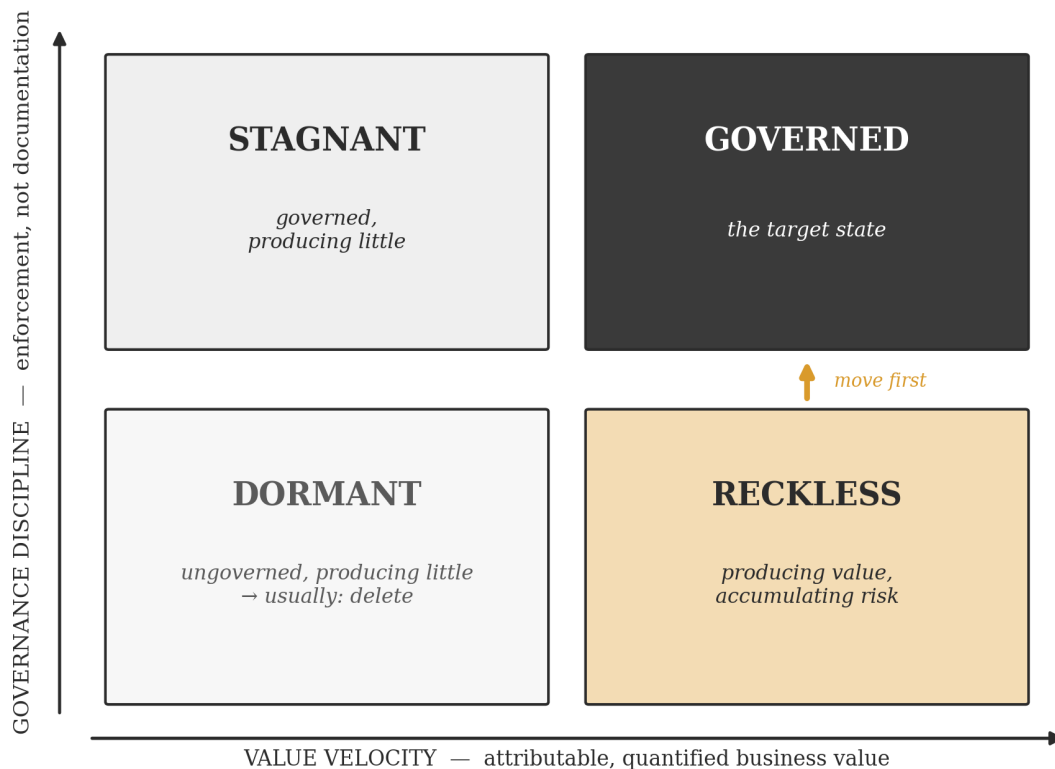


Where does your AI estate actually stand?

*The full instrument: scoring, estate mapping, the misdiagnosis check, and the four migration paths. The governing rule throughout: **the only wrong answer is a flattering one.***

Most enterprise AI governance conversations begin with a false premise: that the organisation knows what AI it is running. On first honest inspection, the named strategic systems typically turn out to be a fraction of the real estate. The remainder is the accumulated residue of capable people solving real problems faster than procurement could serve them — the chat bot with CRM write access, the analyst's notebook pulling production data into an external API, the pilot that became a dependency because nobody wanted to take it away.

The Debt Quadrant makes that gap visible before a regulator, an incident, or a board post-mortem makes it visible for you. Its value is not in placing the organisation accurately on a map. It is in surfacing the distance between where leadership *believes* the estate sits and where it *actually* sits — the most useful single number a governance programme can produce.



The axes are chosen to defeat the two ways organisations flatter themselves: counting activity instead of value, and counting policy instead of enforcement.

The two axes

■ **Value Velocity (horizontal).** The speed and scale at which a system generates *measurable, attributable* business value in production. Not tools deployed. Not executive enthusiasm. Output. “We think it's helping” scores low. “It deflects 40% of tier-one tickets, saving ~X FTE at Y cost per interaction” scores high. The axis is ruthless on purpose: it prevents the portfolio from filling with well-governed systems that produce nothing — which is its own failure mode.

■ **Governance Discipline (vertical).** Not the existence of governance — its *enforcement*. A board-approved AI policy with zero enforcement mechanisms scores low regardless of the quality of the document. A system with a named owner, a technically enforced data boundary, active monitoring, and a tested fallback scores high, because those are operational facts, not aspirations. This is the difference between “we have a policy that says this” and “we can demonstrate, from the system's own telemetry, that this is how it actually runs.”

Scoring Governance Discipline (0–4) — per system

0	No owner, no documentation, no monitoring. The system exists; nobody is accountable.
1	Owner named. No enforced controls, no monitoring baseline. Governance is a name on a list.
2	Policy exists and is <i>partially</i> enforced. Monitoring manual or intermittent; incident process informal. (A policy nobody can show is enforced scores 1, not 2.)
3	Policy enforced consistently. Active monitoring with a defined review cadence. Incident escalation documented <i>and tested</i> .
4	Every governance claim is demonstrable from the system's own telemetry, without manual reconstruction. The system could face a regulator with evidence behind every claim.

Scores 0–1 plot as *Low*; 3–4 as *High*; a 2 is the transition zone — err low. Assessed honestly, most enterprise AI systems score 0 or 1. A 2 typically has a policy written by compliance that engineering has never read. A 3 or 4 went through governance *before* deployment, not as an afterthought.

Scoring Value Velocity (one question)

Can we attribute and quantify this system's contribution to a business KPI, with a defensible number and a stated methodology — yes or no? Yes → High. No → Low, regardless of surrounding enthusiasm. Where attributable value exists but is small or unquantified, force the honest question rather than inventing a middle band.

The four positions

■ **Reckless (high value, low discipline).** Real metrics, genuine value — and near-zero governance. No named owner, no data boundary, no monitoring. Reckless feels like success from the inside because the value is real; the debt is also real and simply not yet visible. This is where most high-impact shadow AI lives. The primary risk is not that the system fails today; it is that when it fails — and drift makes failure a matter of when — there is no audit trail, no rollback, no owner, no incident process. The technical failure is recoverable. The organisational overcorrection that follows is usually more expensive than governance would have been.

■ **Governed (high value, high discipline).** The target. Measurable value inside a documented, enforced, monitored frame. When something drifts, it is detected; when something fails, it can be explained; when a regulator asks for the estate and its status, the answer is accurate and available in hours, not weeks. Governed organisations do not move slower than Reckless ones — they move differently, and over any horizon longer than a single sprint they move faster.

■ **Stagnant (low value, high discipline).** Governance succeeded so thoroughly at preventing risk that it also prevented deployment. Committees, policies, approval gates — and little AI in production generating value. The fix is not less governance but *calibrated* governance: fast-track paths for low-risk systems, pre-approved patterns for common cases. Governance that applies maximum friction uniformly produces maximum paralysis uniformly.

■ **Dormant (low value, low discipline).** Usually the largest population in the estate: abandoned pilots, hackathon agents nobody decommissioned, duplicate tools, the long tail of low-use shadow deployments. Not harmless — a Dormant system with a live, over-privileged connection to production data is pure downside. For most Dormant systems the correct action is not governance investment; it is decommissioning. This corner exists to give the estate permission to *delete* — often the highest-return governance action available.

Bureaucratic — not a position, but the misdiagnosis

Bureaucratic is not where a system sits. It is where an *organisation* sits when it has misread its own estate. A Bureaucratic organisation has a board-approved policy, an oversight committee, vendor certifications, and a risk register — and would place itself in Governed without hesitation. Applied honestly to the actual estate, the Quadrant places it very differently: a small Governed pocket, a large Reckless cluster of high-value shadow systems, and an even larger Dormant tail. The artifacts of governance are real. What is not real is the assumption that those artifacts describe the AI that is actually running.

Three self-assessments produce the misdiagnosis with particular frequency, and each is a category error: “*we have AI champions in every business unit*” (a velocity signal misread as a discipline signal); “*we have an AI policy*” (a precondition for governance, not governance); “*we have many AI tools deployed*” (a tool count, not control).

Running the exercise — the portfolio view

Scoring a single system is a warm-up. The instrument earns its place when the whole estate is mapped at once.

- **1. Capture the belief first.** Before any data, have leadership place the organisation on the grid from memory. Record it. This is the baseline for the misdiagnosis check — do not skip it, and do not let anyone revise it later.
- **2. Build the real inventory.** Combine multiple imperfect signals: SSO and OAuth logs, expense data, SaaS and cloud usage, code-repository scans, and interviews with business and technology teams. A register fed only by project approvals will miss the estate. Include vendor AI features activated inside platforms you already own.
- **3. Score every system.** Governance Discipline with the 0–4 rubric; Value Velocity with the one question. Neither requires technical expertise; both require operational honesty. Where evidence is missing, score low — missing evidence is the finding.
- **4. Plot the map.** The shape is almost always the same: more Reckless than expected, a large uncounted Dormant tail, a Stagnant cluster, and a small Governed pocket. In the composite that anchors the book's diagnosis, roughly 60% of discovered systems clustered Reckless, ~30% Stagnant-or-Dormant, and fewer than 10% Governed.
- **5. Measure the gap.** Plot the leadership belief from step 1 against the data-assessed placement. The distance is the Bureaucratic finding — and the headline of the board report.

Reading the map — the priority logic

The map does not produce a verdict. It produces a priority list, and the logic is fixed: **the highest-Value-Velocity Reckless systems move first.** They represent the greatest combination of value and risk — real business impact riding on near-zero control. In parallel, triage the Dormant tail for decommissioning: it removes risk at near-zero cost and shrinks the surface everything else has to govern.

The four governance minimums

For each system moving toward Governed, four conditions before anything else: a **named owner** in the business unit that benefits; an **enforced data boundary** (technical, not policy-only); a **monitoring baseline** with a review cadence; and a **tested fallback**. These are entry conditions, not finishing touches.

Migration paths — direction of travel, not a destination

■ **Reckless → Governed.** Primarily an inventory-and-ownership problem: find the systems you do not know about, assign a named owner where the benefit sits, apply the four minimums to the highest-value systems first. The characteristic obstacle is not technical — it is the conversation with the team that built the shadow system. They moved fast because moving fast was rewarded. Either change what is rewarded, or make the governed path faster than the ungoverned one so the incentive problem solves itself.

■ **Stagnant → Governed.** An enablement problem: the governance infrastructure exists, the deployment infrastructure does not. The fix is calibration — separate low-risk systems onto a genuinely fast streamlined path, reserve full review for the systems whose consequences justify it.

■ **Dormant → deleted (or, rarely, → Governed).** A triage decision. For the rare Dormant system with latent value, route it through the Reckless path once value is established. For the rest: decommission, and document the decommissioning. The obstacle is organisational reluctance to kill things — every dead pilot has a sponsor who would rather it be quietly maintained than publicly ended.

■ **Bureaucratic → Governed.** The organisation-level migration, and the hardest, because it requires admitting that the existing governance infrastructure does not govern the actual estate. The policy is not wrong; the committee is not wrong; the assumption that they cover the whole picture is wrong. The durable fix is architectural: governance as a layer systems must pass through, not a process they can be deployed without.

Status of this instrument

This is a working diagnostic from the field research behind *Govern or Fail: Why Enterprise AI Fails After the Demo* — deliberately published here rather than in the book, which stops where validation stops. The book is the diagnosis: twelve chapters on why enterprise AI fails between the demo and production, built on the strongest available evidence and honest about where the evidence ends. This instrument is the field kit. Use it, and where it breaks, tell me: governorfail.com.

Govern or Fail launches September 2026. Version 1.1 of this document — revisions are listed at governorfail.com/updates.